

UHN-PO-HR05 Pay Protection Policy

Policy/Guideline Title:	Pay Protection Policy		
Executive Summary:	This policy outlines pay protection arrangements in circumstances where employees are adversely affected by an organisational change. It should be read in conjunction with the UHoN Organisational Change Policy, which provides details of how change will be managed, including the consultation process.		
Supersedes:	Organisational Change Policy B.13 – KGH Organisational Change Policy NGH-PO-088 - NGH		
Description of Amendment(s):	Full review and harmonisation of the policies		
This policy will impact on:			
Policy Area:	People Division	Approval Date:	30 November 2022 Extended: 22 November 2023
Version Number:	1.1	Review Date:	30 November 2025
Issued By:	Andrew Stewart, Acting Deputy Chief People Officer	Expiry Date:	28 April 2026
Author:	Hayley Payne, HR Business Partner	Impact Assessment Date:	16 September 2022
APPROVAL RECORD			
	Committees / Group	Date	
Consultation:	Group Policy Review Forum	08 November 2022	
Endorsed by Head of Function:	Paula Kirkpatrick, Chief People Officer	08 November 2022	
Ratified by:	UHN Policy Ratification Group	30 November 2022	
Extension Requested:	Andrew Stewart, Acting Deputy Chief People Officer	22 November 2023	
Extension Approved:	UHN Policy Ratification Group		

UHN-PO-HR05 Pay Protection Policy and reference number, Version 1.1, November 2023

Staff are reminded not to rely on a printed copy of the Policy – Policy printed on 22 November 2023

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1. Introduction

This policy outlines pay protection arrangements in circumstances where employees are adversely affected by an organisational change and have accepted redeployment to a lower paid post within the Trust or suffered a reduction in their earnings or contracted hours as a result of redeployment. It should be read in conjunction with the Trust's Organisational Change and Transformation Policy, which provides details of how change will be managed, including the consultation process.

The policy should be read in conjunction with Definitions set out at section 4.

2. Purpose

The purpose of the pay protection policy is to:

- ensure contractual pay obligations of the Trust are met;
- minimise the financial burden to an employee, where planned organisational changes to their role and/or terms and conditions would result in decrease in pay;
- value continuous service across the Kettering General Hospital NHS Foundation Trust and Northampton General Hospital NHS Trust ('the Trust'/'KGH/NGH');
- enable consistency between staff; and
- minimise the need for redundancies within the Trust, where employees accept lower paid roles with pay protection as suitable alternative employment.

3. Scope

This policy is applicable to all employees in the Trust who, because of organisational change, suffer a loss of earnings due to:

- the downgrading of the employee's existing post or move to a new post at a lower grade; or
- changes to terms and conditions in an existing or new post.

It does not apply to bank workers, agency workers or self-employed contractors.

Pay protection does not apply where pay is affected as a result of changes:

- requested by yourself or your representative(s) outside of the organisational change process;
- where you have been acting up for a temporary period of time before returning to your substantive post;
- made by mutual agreement between you and your manager; and/or
- where redeployment arises as a result of action under one of the following Trust policies:

- Capability procedure
- Disciplinary procedure
- Ill health procedure

No pay protection will be made unless there is a reduction in your total earnings, calculated as an average over a 12 week period prior to the date of change. Where this period does not reflect normal earnings, for example because of maternity leave, an appropriate 12 week period will be used.

The Trust may, in exceptional circumstances and at its discretion, consider pay protection in respect of any of the above excluded circumstances upon discussion with the manager, the People Partnering team, yourself and your representative.

If you are currently receiving time-limited protection under previous pay protection arrangements, these will be unaffected by this policy, and you will continue to receive protection under arrangements in force at that time.

Employees do not have a contractual right to pay protection.

4. Protection of Pay Procedure

4.1. Pay Protection - Basic Pay

You will be entitled to basic pay protection if, as a consequence of organisational change, you are required by management to move to a new post at a lower band or to reduce your contracted working hours and as a result, are faced with reduced basic salary. The protected salary will be your basic salary as at the start date of your redeployment into a new post.

Pay protection will only be offered for redeployment to a post limited to one band below the existing substantive post. All other terms and conditions of employment will be those applicable to the new post.

Period of Pay Protection - Basic Pay

The Protection Period is based on the following continuous service with the Trust (or where there has been a TUPE transfer, the time served in the previous organisation will be treated as NHS service):

Length of KGH/NGH service in Period prior to change	Protection Period
Up to one year	Three months
At least one year but less than two years	Six months
At least two years but less than five years	12 months
At least five years	Three years

During the Protection Period, the protected basic salary will be Mark Time. If the maximum basic salary applicable to the new post increases by pay awards to more than the Mark Time, your basic salary will be increased to the new maximum and the Protection Period will end. Future increases will then apply as normal.

Pay protection may be terminated during the Protection Period if you unreasonably refuse a subsequent offer of suitable alternative employment in a comparable post at the previous band and/or hours.

At the end of the Protection Period, you will be paid at the maximum point of the new band.

4.2. Pay Protection – Enhancements

Under this policy, you will receive protected pay from the date of redeployment or date of change in shift pattern. All other terms and conditions of employment will be those applicable to the post in the new working pattern.

The amount of protected pay will be the difference, on the date of redeployment or transfer date, between the Enhanced Pay in the new working pattern and/or post and that which would have been paid in the previous working pattern and/or post. The calculated amount will:

- not be increased during the period of protection; and
- will be non-pensionable and will not count towards overtime or any other salary-related payments in the new post.

Where appropriate, you will be required to undertake any shift work, overtime or other additional duties which may be required up to the level at which earnings in the new post equal the protected earnings. Managers should consider the personal circumstances of the employee and make clear to individuals, prior to commencement of the Protection Period, any regular requirements of the post relating to shift work and overtime.

The Protection Period is based on the following continuous service with the Trust (or where there has been a TUPE transfer, the time served in the previous organisation will be treated as NHS service):

Length of KGH/NGH service in period prior to change	Protection period
Up to one year	Three months
At least one year but less than five years	Six months
At least five years	12 months

The enhancement must have been regularly paid to you for at least six months out of the last 12 months to qualify for protection.

During the Protection Period, all overtime and other salary-related enhancements will be based on the normal maximum for the new post.

Pay Protection – Excess Travel

Travel protection in relation to the additional travel costs incurred as a result of a change in main base.

If you are required to change your base of work as a result of organisational change, service review, a reconfiguration or accepting an alternative post to redundancy, you may be reimbursed your extra daily travel expenses. The excess shall be calculated

on the basis of the bus fares or standard rail travel or if you travel by private motor vehicle on the basis of the Reserve rate in Section 17 of the Agenda for Change Terms and Conditions Handbook.

The period of protection will be for four years.

4.3. NHS Pension Scheme

Under the provisions of the NHS Pension Scheme, you may apply to preserve your pension benefits based on the previous higher rate of pay where, through no fault of your own, you are downgraded. If you wish to consider this option, you must liaise with the Pension Scheme Manager at the earliest opportunity to discuss the process and timescales involved.

4.4. Right of appeal

If the matter is not resolved, you can appeal under the provisions set out in the Trust's Grievance Policy.

5. Definitions

Basic pay	This is the weekly or monthly sum due in respect of the basic hours worked within a standard working week, calculated over the 12 month period prior to redeployment and based on the current rates.
Enhanced pay	This is the salary earned in addition to basic pay, calculated over 12 weeks and based on current rates e.g., additional pay for working on call, nights and or weekends. This excludes non-contractual overtime, "acting up" and all other earnings.
Mark Time	This means the rate of earnings is preserved without the benefit of any increments or pay awards applying to the salary scale or annual pay increases. The mark time salary is the salary received immediately prior to the change in role and change in pay.
Protection Period	This means the period over which pay will be protected.
Redeployment date	This means the date on which you start employment in the new post under these arrangements. This might include a project post for a minimum of 12 months.

6. Training

There is no training required for this policy.

7. Monitoring Compliance with the Document

Requirement of the policy and compliance to be monitored	Frequency of audit	Responsibility for audit	Results of monitoring reported at:
Report the number staff receiving basic and enhanced pay protection by protected characteristics.	Annually	<i>Head of Equality and Inclusion</i>	As part of pay gap report to board
Number of people on basic and enhanced pay protection	Annual	<i>Head of People Partnering</i>	Union Group Policy Review Forum (GPRF)
Number of formal grievances and Freedom to speak up relating to pay protection	Annual	<i>Head of People Partnering</i>	Union Group Policy Review Forum (GPRF)

8. References

NHS Terms and Conditions of Service Handbook (2022)

University Hospitals of Northamptonshire (2022) Organisational Change and Transformation Policy

Kettering General Hospital NHS Foundation Trust (2019) Organisational Change/Redundancy Policy

Northampton General Hospital NHS Trust (2020) Organisational Change Policy

University Hospitals of Northamptonshire (2022) Pay Protection Policy

Kettering General Hospital Foundation Trust (2016) Grievance Policy

Northampton General Hospital NHS Trust (2021) Grievance Procedure

Yeovil District Hospital NHS Foundation Trust (2021) Human Resources Policy Manual

Appendix A – Responsibilities

1. **The Trust** is responsible for ensuring that managers are aware of their responsibilities under this policy.
2. **The Chief People Officer and People Directors** will oversee implementation of the policy within the Trust and monitor compliance and effectiveness.
3. **Managers** are responsible for following the principles and processes in this policy, while ensuring the appropriate paperwork is completed and that Payroll is notified of your pay protection arrangements.
4. It is important that should **you** be involved in an organisational change process, if necessary, you co-operate with the process of securing alternative employment and any re-training required.

Appendix B – EIA Form

Equality Impact Assessment (EIA) – Initial Assessment			
1. Division	People Services	2. Department	People Services
3. Person(s) completing this form	Andrew Stewart, Acting Deputy Chief People Officer	4. Contact Information	Andrew.stewart13@nhs.net
5. Others involved		6. Start date of this assessment	16 September 2022
7. What is being assessed (please tick)	New Policy ☒ Existing Policy ☐ New Service / Function ☐ Review Service / Function ☐	8. Implementation/ effective date	End of October 2022
9. Name of Policy	Pay Protection Policy		
10. What are the aims / objectives of policy this service?	This policy outlines pay protection arrangements in circumstances where employees are adversely affected by an organisational change. It should be read in conjunction with the UHoN Organisational Change Policy, which provides details of how change will be managed, including the consultation process.		
11. Who will be impacted by policy / service (please tick)	Patients ☐ Carers ☐ Public ☐ Staff ☒ Other ☐	11a. If staff are impacted, how many individuals / Which Groups of Staff are likely to be affected?	All
12. Who has been involved in the policy / service development (please tick)	Patients ☐ Carers ☐ Public ☐ Staff ☒ Other ☒	12a. If yes, who have you involved and how have they been involved	Unions, Managers, HR Team, Solicitors
13. What further consultation method(s), if any, are you proposing?	Formal consultation through Trust established Trade Union negotiation forum	14. How are any changes / amendments to the policy / service to be communicated?	Formal consultation period

Equality Impact Assessment – Initial Assessment Outcome			
15. As part of the completing the above have you or a member of the group conducting EIA identified any issues relating to the specific service/policy and gender, race, age, religion, physical disability, hearing impairment / sensory impairment / mental illness / learning disabilities / sexual	No	☐	EIA Complete (please send completed EIA to kgh-tr.diversity@nhs.net)
	Yes	☒	Requires EIA Full Assessment to be completed.

orientation / gender reassignment / marriage & civil partnership / pregnancy & maternity and carer status?			
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Equality Impact Assessment – Full Assessment

Review of any previous EIA actions

What actions did you plan last time? (List them from the previous EIA)	What improved as a result? What outcomes have these actions achieved?	What <u>further</u> actions do you need to take? (add these to the Action plan below)
Not applicable	Not applicable	Not applicable

Review of information, equality analysis and potential actions

Protected characteristics groups from the Equality Act 2010	What do you know? Summary of data about your service-users and/or staff	What do people tell you? Summary of service-user and/or staff feedback	What does this mean? Positive / Neutral / Negative Impact identified from data and feedback (actual and potential)	What can you do? All potential actions to: • advance equality of opportunity, • eliminate discrimination, and • foster good relations
Age	N/A	N/A	N/A	N/A
Disability	N/A	N/A	N/A	N/A
Gender reassignment	N/A	N/A	N/A	N/A
Pregnancy and maternity	N/A	N/A	N/A	N/A
Race/ethnicity Including migrants, refugees and asylum seekers	N/A	N/A	N/A	N/A
Religion or belief	N/A	N/A	N/A	N/A
Sex/Gender	N/A	N/A	N/A	N/A
Sexual orientation	N/A	N/A	N/A	N/A
Marriage and civil partnership	N/A	N/A	N/A	N/A
Community Cohesion	N/A	N/A	N/A	N/A
Other relevant groups	N/A	N/A	N/A	N/A
Cumulative impact	All staff have the potential to be directly affected this policy irrespective of protected characteristic	Concern raised over the length of protection, and what is reasonable length of time to pay protect as people with protected characteristics could be	Negative	EDI report annually the number staff receiving basic and enhanced pay protection by protected characteristics.

Protected characteristics groups from the Equality Act 2010	What do you know? Summary of data about your service-users and/or staff	What do people tell you? Summary of service-user and/or staff feedback	What does this mean? Positive / Neutral / Negative Impact identified from data and feedback (actual and potential)	What can you do? All potential actions to: • advance equality of opportunity, • eliminate discrimination, and • foster good relations
		receiving less pay when working in similar roles		Limit the length of time pay protection applies to a minimum period to allow for people to be retrained.

Equality Impact Assessment – Full Assessment Outcome

Assessment of overall impacts and any further recommendations	TBC
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Equality Impact Assessment – Detailed list of data/community feedback that informed your EIA

Title (of data, research or engagement)	Date	Gaps in data	Actions to fill these gaps: who else do you need to engage with? (add these to the Action Plan below, with a timeframe)
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Job Evaluation Policy			

Equality Impact Assessment – Prioritised Action Plan¹

Impact identified and group(s) affected	Action planned	Expected outcome	Measure of success	Timeframe

Equality Impact Assessment – Initial Assessment Outcome

As part of the completing the above have you or a addressed all issues identified as part of EIA initial assessment	No	☐	Please speak to Diversity and Inclusion Manager
	Yes	☐	EIA Complete (please send completed EIA to kgh-tr.diversity@nhs.net)

¹ These actions must now be transferred to service or business plans and monitored to ensure they achieve the outcomes identified.